



Topic-3

Business Environment

(PPT-2)

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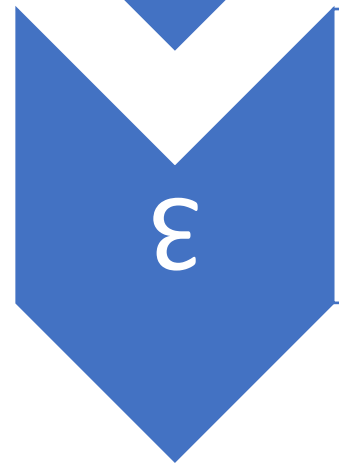
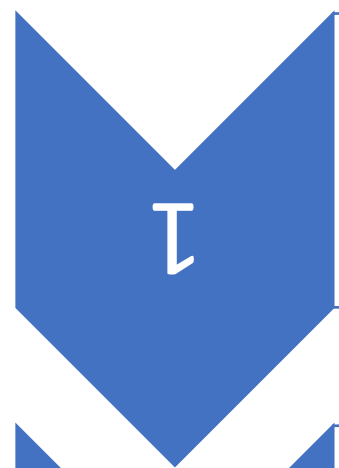
B.Com, M.com, NET, G.D.C& A, DTL, C.A (Inter),

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Points to be discussed in this session



• Introduction of Micro Environment

• Macro Environment

• Elements of Business Environment

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Micro Environment

The micro environment encompasses the forces close to a company that directly affect its operations. Understanding these factors is crucial for businesses to navigate their immediate surroundings and achieve success.





Introduction to Micro Environment

The micro environment comprises the internal and external factors that directly influence a company's activities and performance. It encompasses the forces within the company's immediate control and those that can be actively managed.

Internal Factors

These include the company's resources, capabilities, and internal processes.

External Factors

These include customers, suppliers, competitors, and other stakeholders.

Key Micro Environment Elements

Understanding the key elements of the micro environment allows businesses to develop strategies to optimize their operations and gain a competitive edge.

Customers



The target audience for the company's products or services. Understanding customer needs and preferences is essential for effective marketing and product development.

Suppliers



Businesses that provide raw materials, components, or services to the company. Building strong relationships with suppliers ensures reliable and timely delivery of essential inputs.

Competitors



Other businesses that offer similar products or services, vying for the same customer base. Analyzing competitors' strengths, weaknesses, and strategies is crucial for competitive advantage.

Additional Micro Environment Components

Components

These elements play crucial roles in influencing a company's operations and success, impacting its reach, reputation, and overall effectiveness.

1 Intermediaries

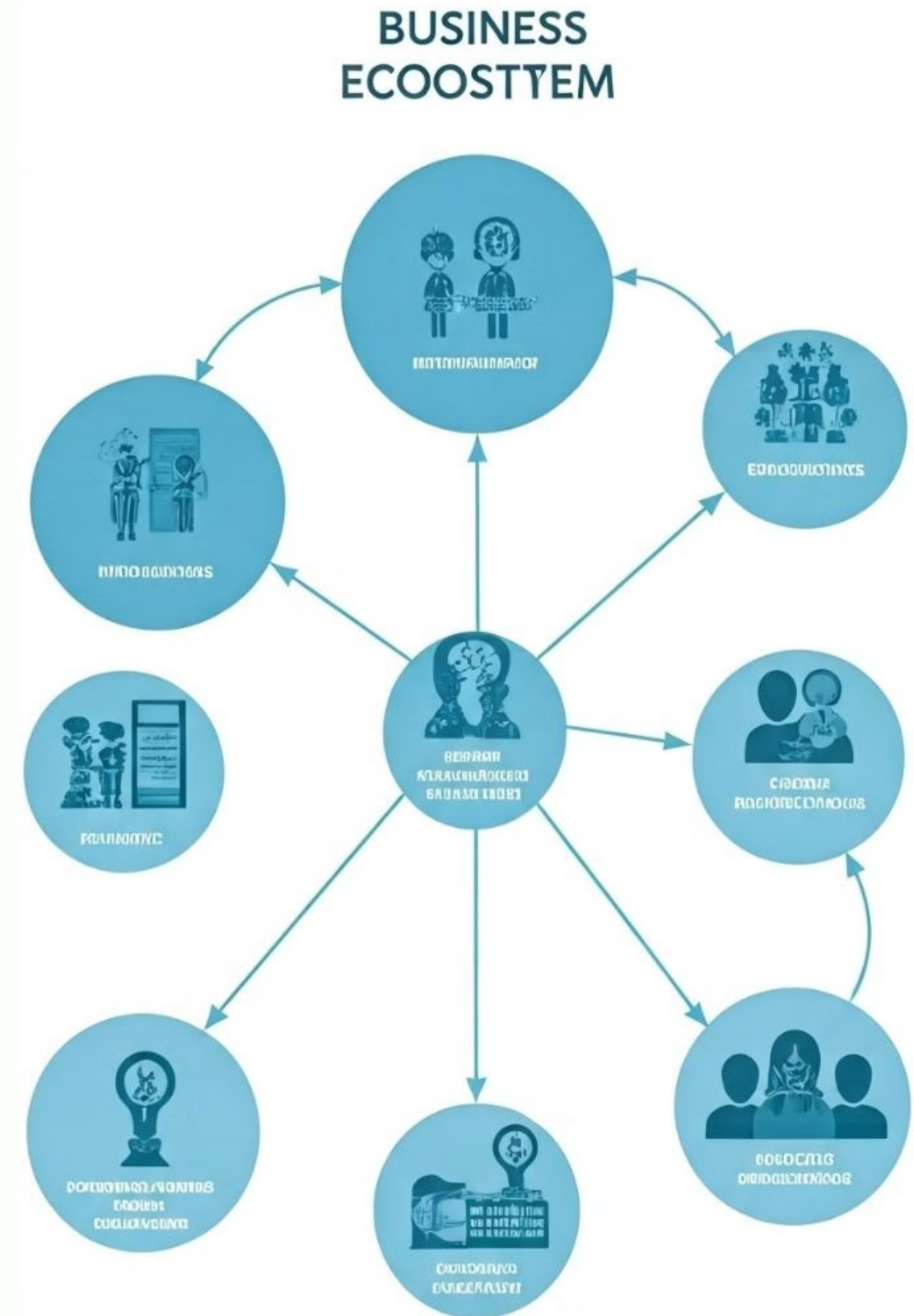
These are the channels through which products or services reach customers, such as distributors, retailers, and marketing agencies.

2 Publics

Groups that have a stake in the company's success, including financial institutions, media outlets, and community organizations.

3 Employees

The workforce responsible for carrying out the company's operations and delivering its products or services. Employee motivation and engagement are vital for success.



Elements of Macro Environment

The macro environment comprises the broader external forces that influence the entire industry and affect a company's micro environment. It sets the context for business operations and presents both challenges and opportunities.

1

Economic Environment

Factors such as interest rates, inflation, and consumer spending patterns.

2

Political and Legal Environment

Government regulations, policies, and political stability.

3

Socio-Cultural Environment

Consumer lifestyles, values, and cultural trends.



Understanding Macro Environment Components

Companies need to understand and adapt to the dynamic forces of the macro environment to thrive and achieve long-term success.

Economic
Environment

Economic
growth, inflation,
interest rates

Political and
Legal

Environment
Government
regulations,
political stability

Socio-Cultural
Environment

Consumer
lifestyles,
cultural trends





Additional Macro Environment Elements

These factors shape the business landscape and require companies to be adaptable and responsive to changing circumstances.

1

Technological Environment

Developments in technology and its impact on products, processes, and communication.

2

Environmental (Ecological) Environment

Concern for sustainability, pollution, and resource depletion.

3

Global Environment

International trade, economic integration, and cultural exchange.

Global Business Environment: A Connected World

Businesses operate in a globalized environment, where interactions and competition occur across borders. Understanding the intricacies of the global business environment is crucial for success in today's interconnected world.



Globalization

Increasing interconnectedness of economies and societies.



International Trade

Exchange of goods and services across national borders.



Foreign Investment

Capital flows from one country to another.



Cultural Diversity

Understanding and navigating different cultures.

